MULUND COLLEGE OF COMMERCE (AUTONOMOUS)

Programme: School of Business - Business Administration Class: FY Semester: I

Exam: External Name of the Subject: Financial Accounting for Business

Date of Exam: 07/10/2025 Marks: 60 Time: 2 Hours

Instructions: 1) Figures to the right indicate maximum marks.

Q.1 A Journalise the following transactions of in the books of Shakal Traders [15]

- **April 1:** Shakal commenced business with Cash Rs. 1,80,000, Furniture Rs. 1,20,000, and Building Rs. 2,00,000.
- **April 4:** Purchased Motor Car from Hyundai Company by Cheque Rs. 1,10,000 at 18% GST.
- **April 5:** Paid Insurance of the above Car Rs. 6,000 to United India Insurance Company.
- **April 10:** Deposited into State Bank of India Rs. 80,000.
- **April 12:** Paid for Salary Rs. 20,000 and Rent Rs. 6,000.
- **April 15:** Bought goods from Rani Rs. 1,60,000 and paid her half amount in cash immediately.
- **April 18:** Cash sales Rs. 1,20,000 @ 5% GST.
- **April 20:** Received Rent Rs. 2,000 and Commission Rs. 8,000.
- **April 25:** Paid for Telephone Charges Rs. 3,000.
- **April 30:** Paid for Printing Rs. 34,000 by Debit Card of SBI.

OR

Q.1 B What are the objectives of accounting? **[08]**

Q.1 C Write a note on Indian Accounting Standards? **[07]**

Q.2 A Enter the following transactions in an Analytical Petty Cash Book under Imprest System for the month of April, 2025. Imprest money was maintained at Rs.1,200. **(15)**

April

1 Cash Balance Rs.120.
2 Gave gift to clerk Shreedhar Rs.101.
5 Paid for sending registered post and speed post Rs.50.
7 Washing charges paid to peon Rs.15.
12 Paid for cartage Rs.30.
17 Gave loan to peon Rohit Rs.400.
21 Paid for cartage Rs.30.
25 Purchased chairs for office use Rs.1060.
25 Bank charged Rs.195 for interest om overdraft.
28 Purchased stamp pad, paper clips and carbon papers Rs.85.
29 Purchased office files for Rs.90.
30 Paid for repairs of machinery Rs.120.

OR

Q.2 B Record the following transactions of Mira Traders in Cash Book with Cash and Bank columns for the month February 2025. **(15)**

1 Started business with cash Rs.1,00,000.
3 Received from Shruti on account cash Rs.2,750 and bearer cheque of Rs.1,500
6 Paid to Vaibhav Rs.6,400 by cheque and discount received Rs.100.
9 Cash sales Rs.4,800.
10 Cheque received on 3rd February Rs.1,500 endorsed to Pranita in full settlement her account.
13 Deposited into bank Rs.10,000.
17 Purchased goods from Nikhil Rs.14,000 @ 10% trade discount and paid half the amount immediately @ 5% cash discount.
19 Bank paid insurance premium under our standing instruction Rs.3,800 and collected interest on Investment Rs.4,700.
21 Cheque issued to Vaibhav was dishonoured.
22 Gautam our debtor deposited into our bank account Rs.7,000.

23 Paid salaries by cheque Rs.15,000.
25 Withdrew by cheque Rs.8,000 for office use and Rs.1,000 for personal use.
29 Deposited into bank all cash in excess of Rs.8,250.

Q.3 A Prepare a Bank Reconciliation Statement as on 30th June 2025 from the following extracts of Cash Book and Pass Book. **(15)**

1. Considering Balance as per Cash Book 2. Considering Balance as per Pass Book

Dr. **Cash Book (Bank Column Only)** **Cr.**

Date	Receipts	Rs.	Date	Payments	Rs.
2025			**2025**		
June 1	To Balance b/d	40,000	June 4	By Drawings	3,500
3	To Kamal	11,000	8	By Subhash	16,500
9	To Prabhakar	7,500	12	By Salary	14,000
16	To Pawar	17,000	16	By Manish	8,500
23	To Satishan	13,000	18	By Shanti	21,000
27	To Mohana	500	21	By Kapilesh	10,000
30	To Kumar	1,750	26	By Seema	5,500
			30	By Commission	500
			30	By Balance c/d	11,250
		90,750			**90,750**

Pass Book

Date	Particulars	Withdrawn (Rs.)	Deposited (Rs.)	Balance (Rs.)
2025				
June 1	By Balance b/d			40,000
4	To Cheque- Drawings	3,500		36,500
5	By Cheque Kamal		11,000	47,500
9	To Cheque Subhash	16,500		31,000
11	By Cheque Prabhakar		7,500	38,500
12	To Cheque Salary	14,000		24,500
17	To Cheque Manisha	8,500		16,000
20	By Cheque Satishan		13,000	29,000
30	By Dividend Received		4,500	33,500
30	To Bank Charge	75		33,425
30	To Electricity Bill	300		33,125
30	To Commission	500		32,625

OR

Q.3 B State whether the following is a capital or revenue expenditure/receipt **[08]**

1. Payment for purchase of goods.
2. Payment for purchase of stationery.
3. Payment for purchase of a car.
4. Payment for purchasing mining rights.
5. Paid Audit Fees.
6. Payment of a loan taken earlier.
7. Payment of salaries.
8. Wages for erection of machinery.

Q.3 C Anna & company, Solapur bought a Machinery worth Rs.25,000 on 1st April 2022 and paid Rs.5,000 on its Installation. The company depreciated the Machinery @ 10% p.a. original cost on 31st March, every year. **[07]**

On 1st October 2024 the company sold a part of the Machinery for Rs.7,000, the original cost of which was Rs.10,000, the company purchased new Machinery for Rs.20,000 on the same date. Show Machinery Account and Depreciation Account for the year 2022-23, 2023-24, 2024-25.

Q.4 A) Singham enterprises have the following Ledger Balances as on 31st March 2025. **[15]**

Particulars	**Dr. (Rs.)**	**Cr. (Rs.)**	**Particulars**	**Dr. (Rs.)**	**Cr. (Rs.)**
Goodwill	4,00,000		Net Sales		44,00,000
Factory Shed	80,000		Miscellaneous Income		16,000
Machinery	5,20,000		Bad Debts Reserve		20,000
Furniture	32,000		Purchase of Materials	34,40,000	
Investments	40,000		Freight on Materials	2,00,000	
Capital		7,80,000	Factory Power	60,000	
Bank Loan		12,00,000	Salaries and Wages		
Creditors		6,00,000	• Factory	6,00,000	
Debtors	5,40,000		• Office	2,60,000	
Stock on 1-4-2024			Repairs and Renewals	10,000	
• Materials	3,20,000		Rent and Taxes	66,000	
• Work-in-Progress	30,000		Insurance	15,600	
• Finished Goods	3,30,000		General Expenses	72,400	
				70,16,000	**70,16,000**

The following additional information is available:

1. Closing stock: Materials Rs.8,40,000; Work in Progress Rs.50,000 and Finished Goods Rs.8,30,000.
2. Depreciation to be provided at 2 ½ % on Factory Shed, 10% on Machinery and 15% on Furniture.
3. Repairs and rent and taxes are to be apportioned between Factory and Office in the ratio of 3:2.
4. Reserve for bad and doubtful debts to be provided at 4% on debtors.
5. Insurance Premium paid in advance Rs. 1,300

You are required to prepare Manufacturing, Trading and Profit and Loss Account for the year ended 31st March 2025 and Balance Sheet as on that date.

OR

Q.4 B) Following is the Trial Balance of AAIO Ltd. as on 31st March, 2025: **[15]**

Debit Balances	**Rs.**	**Credit Balances**	**Rs.**
Stock (at Stock)	5,00,000	Share Capital (Equity shares of Rs.100 each)	20,00,000
Fixed Assets (Net Block)	12,35,000	General Reserve	70,000
Sundry Debtors (unsecured & good)	4,00,000	Loan from State-Financial Corp.	3,00,000
Staff Advance	97,400	Provision for Taxation	11,000
Cash on hand	60,000	Net Profit for the year	2,70,000
Bank Balance	4,94,000	Profit and Loss A/c (Opening Balance)	1,00,000
Share Issue Expenses	26,600	Short Term Loans	50,000
Bills Receivable – Trade	58,000	Sundry Creditors	1,40,000
Investments (at cost)	75,000	Unclaimed Dividend	5,000
	29,46,000		**29,46,000**

Additional Information:

1. Transfer to General Reserve Rs.50,000.
2 Out of debtors, debts due for more than six months were Rs.52,000.
3. Sundry Creditors included creditors for goods Rs.1,05,000, while the remaining are for expenses.
4. Loan from state financial corporation is secured against stock.
5. Market value of investments is Rs.78,000 while its face value is Rs.60,000.

You are required to prepare:

Balance Sheet of AAIO as on 31st March, 2025 as per Schedule III of the Companies Act, 2013. Ignore previous year figures.